

MERTON DAILY BRIEF - Monday, May 25, 2026

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HEADLINE OF THE DAY

*Gold surges to \$4,523, oil crashes 10% in 5 days, and Kevin Warsh takes over the Fed amid explosive inflation.** Trump says the Iran deal is "proceeding nicely" and the Strait of Hormuz reopening is "largely negotiated" - WTI drops from \$107.77 to \$96.60. Wholesale inflation jumps to 6% in April (highest since 2022), traders price no rate cuts, and US consumer sentiment hits a record low. The S&P 500 holds at 7,473 thanks to Iran hopes, but the VIX at 16.59 masks considerable risks.

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GLOBAL SENTIMENT

****VIX** ? 16.59 (-8.14%) | ? Complacency**

****DXY** ? 98.98 (-0.33%) | ? Weak**

****Gold** ? 4,523 (+0.38%) | All-time high**

****US 10Y** ? 4.558% (-2.34%) | ?**

****US 30Y** ? 5.064% (-2.26%) | ?**

****S&P 500** ? 7,473 (+0.88%) | ? Resilient**

****NASDAQ** ? 26,344 (+0.45%) | ? Tech driven by AI**

****WTI** ? 96.60 (-10.36% 5d) | Collapse**

****Brent** ? 100.21 (-9.95% 5d) | Collapse**

****BTC** ? 77,541 (-0.01%) | ? Neutral**

****Copper** ? 6.379 (+3.47%) | ? Growth**

****Silver** ? 76.20 (+1.83%) | ? Gold follower**

The market is split in two. On one hand, Iran deal hopes are crushing oil and lifting equities. On the other, wholesale inflation at 6%, a consumer at record lows, and a explosive Fed leadership transition tell a different story. The VIX at 16.59 reflects none of these tensions. Gold at \$4,523 tells the truth: the market is hedging.

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MACRO - WHAT MOVED

US

Kevin Warsh confirmed as new Fed Chair - The Senate confirmed Warsh, who was sworn in Friday. He enters in the worst possible context: wholesale inflation at 6%, markets pricing a rate hike, and Trump demanding cuts. Paul Tudor Jones says there's "no chance" Warsh gets rate cuts from the Fed.

Wholesale PPI +6% in April - Highest since 2022. Traders now pricing the Fed's next move as a hike, not a cut. Yardeni says the Fed will have to raise rates in July to appease "bond vigilantes."

Consumer sentiment at record low - The consumer confidence index hit a fresh low in May. The Iran war fuels inflation fears. Americans are feeling inflation's "pinch in their wallets" over the holiday weekend.

Bessent sees "substantial disinflation" ahead - The Treasury Secretary tries to calm markets by predicting disinflation, but the data says otherwise. Stark disconnect between official narrative and

reality.

S&P 500 holds at 7,473 - Driven by Iran hopes and the AI boom. The S&P rebounded from 7,353 (May 19) to 7,473. But CNBC warns: after 3 years of strong returns, subsequent returns are historically subpar.

Tulsi Gabbard resigns - The Director of National Intelligence steps down, adding to the Trump administration's political instability.

EU

ECB vigilant - Villeroy: no second-round inflation effects observed yet. Typical wait-and-see stance.

European stocks at highest since March - Benefiting from Iran hopes and lower oil prices.

UK-Gulf trade deal "monumental" - Post-Brexit UK continues building trade ties outside the EU.

Hungary-EU: deal on frozen funds expected May 28.

CHINA & ASIA

Putin-Xi revive stalled gas pipeline - Strengthening the Russia-China energy axis amid the Iran oil shock.

Japan: Takaichi unveils \$19B supplemental budget. Yen under pressure (USD/JPY 158.89).

India: Hikes gold and silver import taxes to protect the rupee. Modi warns Iran war poses severe risks for India.

Ghana: Will buy 30% of large gold mines' output from June.

UK

GBP/USD at 1.3506 (+0.55%) - The pound benefits from the UK-Gulf trade deal and dollar weakness.

EM

Mexico: Exports at record high in April - Nearshoring continues to pay off.

Nigeria: Q1 GDP slows, weighed down by the oil sector.

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GEOPOLITICS

Hot

Iran - Trump says talks "proceeding nicely" - Iranian negotiators travel to Qatar. Trump claims the Strait of Hormuz reopening is "largely negotiated." But both sides downplay hopes for an imminent breakthrough. Oil has already priced in a deal (WTI -10% in 5 days). Risk: if the deal fails, oil surges violently.

Trump links Abraham Accords to Iran deal - Pushes Saudis to recognize Israel. A Iran deal could reshape the entire Middle East.

Israel: Ministers call for return to "high-intensity" war on Hezbollah.

Fertilizers: Production cut as Iran war squeezes sulfur supplies. Direct impact on global agriculture.

Watch

Strait of Hormuz: 2 LNG tankers have passed through - first signs of reopening.

EU 20th sanctions package forces Kyrgyzstan to reduce trade with Russia.

Colombia: Natural gas crisis deepens as Strait closure cuts supply.

Positive

UK-Gulf trade deal - Trade continues to reorganize outside the US-China framework.

Mexico: Record exports - Nearshoring paying off.

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FX FOCUS

`EUR/USD` ? 1.1646 (-0.08%) | ? Neutral
 `GBP/USD` ? 1.3506 (+0.55%) | ? Supported
 `USD/JPY` ? 158.89 (+0.02%) | ? Fragile yen
 `USD/CHF` ? 0.7826 (-0.24%) | ? Safe haven franc

The dollar is weak (DXY 98.98) despite explosive inflation - the most troubling signal of the day. Normally, a PPI at 6% and rate hike expectations should strengthen the USD. But Iran hopes are driving risk-off flows away from the dollar. The Swiss franc plays its safe-haven role (-0.24%). The pound benefits from the UK-Gulf deal. The yen remains under pressure despite geopolitical risk-off - the BOJ remains the global outlier.

****Pair to watch:** `USD/JPY` - At 158.89, approaching BOJ intervention levels. If the Iran deal fails a**

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COMMODITIES

Oil: WTI 96.60 (-10.36% 5d) | Brent 100.21 (-9.95%)

Oil collapsed from \$107.77 (May 19) to \$96.60 (May 25) - a 10.4% drop in 5 days. The cause: Trump says the Iran deal is "proceeding nicely" and the Strait of Hormuz is "largely negotiated." Jeff Currie (KKR) advises to "sell the tweet, buy the molecule" - the market is overreacting and oil is undervalued at these levels. Oil faces a "trigger point" in July according to experts. The risk is asymmetric: if the deal fails, WTI could surge to \$105-110 in days.

Gold: 4,523 (+0.38%)

Gold at historic highs. India raises import taxes to protect the rupee - a sign of distress. Ghana will buy 30% of large gold mines' output. Central banks continue accumulating. Gold at \$4,523 reflects inflation fears, geopolitics, and loss of confidence in the Fed. Jeffrey Gundlach warns the bond market is starting to price in lasting inflation. Gold could test \$4,800-5,000 if inflation doesn't materialize into disinflation.

Silver: 76.20 (+1.83%) | **Copper:** 6.379 (+3.47%)

Silver follows gold with higher beta (+1.83%). Copper is the big winner of the week (+3.47%) - a barometer of global growth, it benefits from Iran hopes (economic recovery) and AI/data center demand. Copper is the "best of both worlds."

Soft

Fertilizers under pressure - the Iran war squeezes sulfur supplies. Direct impact on global food prices.

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WEEK'S AGENDA

Monday, May 25 - US Holiday (Memorial Day)

US markets closed. Low liquidity expected.

This week:

Tuesday, May 26

14:30 - US Durable Goods Orders (Apr) | Consensus: -0.5% | Previous: +2.6% |
 16:00 - US Consumer Confidence (May) | Consensus: 87.0 | Previous: 86.0 |

Wednesday, May 27

14:30 - US GDP Preliminary (Q1) |
 16:00 - US New Home Sales | ?

Thursday, May 28

14:30 - US Jobless Claims | ?
 14:30 - US Core PCE (Apr) |
 15:45 - Chicago PMI | ?

Friday, May 29

14:30 - US Personal Income/Spending | ?
 16:00 - Michigan Consumer Sentiment (final) | ?

*Key events:**

Kevin Warsh enters as Fed Chair

Iran-US negotiations continue in Qatar

Hungary-EU: frozen funds deal (May 28)

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DEEP MACRO THEME OF THE DAY

The great decoupling: why gold and oil tell opposite stories - and why both are right.*

We are living through a rare moment when the two most geopolitically sensitive assets - gold and oil - diverge massively. Gold at \$4,523 says: "inflation is coming, the Fed is behind, the world is dangerous." Oil at \$96.60 says: "the war is ending, supply is returning, everything is fine."

Both cannot be right simultaneously. If the Iran deal materializes and oil stays low, energy inflation will fall - but core inflation (wholesale +6%) doesn't come only from oil. It comes from tariffs, de-globalization, wages, and the money supply. Low oil won't solve the problem.

Conversely, if the deal fails, oil surges to \$105-110, and inflation becomes uncontrollable - the Fed will have to raise rates, and equities will correct.

The real risk is elsewhere: the **loss of confidence in the Fed**. Kevin Warsh arrives with an explicit political mandate from Trump: cut rates. But the data demands a hike. If Warsh yields to Trump and cuts rates despite 6% inflation, the dollar collapses, gold explodes toward \$5,000+, and long yields soar. If Warsh resists and holds rates, Trump fires him and installs a puppet.

This is the dilemma of 2026. And the market hasn't priced this scenario.

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CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:

"The Iran deal will happen and oil will stay low" ? WTI at \$96 already pricing a near-certain deal. If it fails, oil surges violently. Risk is asymmetric.

"The Fed will cut rates by year-end" ? With PPI at 6% and bond vigilantes roaring, the Fed has no room. Paul Tudor Jones says "no chance." Fed funds futures price a hike, not a cut.

"Gold is overbought and will correct" ? Gold is at records, but fundamentals (inflation, debt, central bank buying, loss of Fed credibility) justify higher levels. The correction will come when the Fed regains credibility - not tomorrow.

"The S&P 500 will keep rising thanks to AI" ? The AI boom is real, but valuations are extreme. CNBC warns: after 3 strong years, subsequent returns are historically subpar.

"The US consumer will continue supporting growth" ? Consumer sentiment at record lows. Inflation is weighing. The labor market shows signs of deterioration beneath the surface.

"The dollar will strengthen with high rates" ? DXY at 98.98 and falling. The market doesn't believe the Fed can maintain high rates with Trump pushing for cuts.

"Copper will suffer from global slowdown" ? Copper is up 3.47% this week. AI/data center demand and the energy transition support prices.

The alpha:

1. **Long Gold / Short S&P 500** - Gold at \$4,523 is the true fear barometer. The S&P at 7,473 is driven by hope. When inflation reality catches up with hope, gold will outperform equities.
2. **Long USD/JPY on rebound** - If the Iran deal fails (or is delayed), risk-off returns and the yen strengthens. Buy USD/JPY on rebound toward 159-160 with stop at 161. Target: 156-157.
3. **Long Oil on weakness** - Jeff Currie is right: "sell the tweet, buy the molecule." WTI at \$96 is undervalued if the deal takes time. Buy WTI at \$95-96 with stop at \$92. Target: \$102-105 if the deal drags.
4. **Short EUR/USD** - The ECB is vigilant but Europe suffers in comparison to the US. EUR/USD at 1.1646 could test 1.15 if US data surprises to the upside.
5. **Long Copper** - Copper is the "best of both worlds": it benefits from risk-on (Iran hopes) AND the

energy transition. Buy on pullback toward 6.20-6.25.

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MERTON'S TAKE

Regime: Stagflation light with geopolitical hope.*

We are in the most dangerous regime for investors: inflation accelerating (+6%), growth slowing (consumer at record lows), and the Fed politically captured. The only factor preventing equities from correcting is Iran hope - an exogenous factor no one can predict.

The week's driver: the Iran deal.* Everything depends on it. If the deal happens: oil stays low, equities up, dollar down, gold corrects. If it fails: oil explodes, equities correct, gold explodes, dollar strengthens.

My conviction: the market is overreacting to Iran hopes.* Both sides have downplayed hopes for an imminent breakthrough. Nothing is signed. Oil dropped 10% on a Trump tweet. This is classic: Trump tweets, the market obeys, then reality sets in.

Trade of the week: buy oil on weakness.* WTI at \$96 is an attractive entry level. The risk is asymmetric: if the deal happens, oil won't fall much further (already priced in). If it fails, oil rises 10-15%. This is a trade with a 3:1 risk/reward ratio.

Positioning:*

Hold: Gold (\$4,523 - no reason to sell), Copper (intact uptrend)

Buy: Oil on weakness (\$95-96), Silver (\$76 - gold follower with higher beta)

Avoid: US equities (too much hope priced in, extreme valuations), USD (weak dollar despite inflation)

Watch: USD/JPY (158.89 - BOJ intervention level), US 10Y (4.558% - if it breaks 4.60%, equities suffer)

Final word:* Kevin Warsh enters office with a ticking time bomb. Inflation is at 6%, Trump wants cuts, and bond vigilantes are roaring. Whatever he does, he loses: if he cuts rates, inflation explodes; if he holds rates, Trump fires him. This dilemma is the real risk of 2026. And no one is pricing it correctly.

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SOURCES CONSULTED

Yahoo Finance API - Real-time market data (S&P 500, VIX, NASDAQ, Gold, Silver, WTI, Brent, Copper, BTC, EUR/USD, GBP/USD, USD/JPY, USD/CHF, US 10Y, US 30Y, US 5Y, DXY)

FT RSS (ft.com/rss/home, ft.com/rss/markets) - Iran deal, LNG tankers, fertilizer squeeze, investors no longer rely on policy put

Bloomberg RSS (feeds.bloomberg.com/markets/news.rss, /economics/news.rss, /politics/news.rss) - Oil slides on Iran deal progress, ECB Villeroy vigilant, Trump pushes Saudis, Hungary-EU funds deal

CNBC World - AI boom reshuffling global stock hierarchy, prediction markets analysis

CNBC Fed - Kevin Warsh sworn in as Fed chair, inflation projected 6% Q2, bond vigilantes, Paul Tudor Jones

CNBC Oil - Jeff Currie "sell the tweet buy the molecule," oil trigger point in July, Strait of Hormuz alternatives

CNBC Gold - India hikes gold/silver taxes, Modi warns on Iran war, gold/silver rally could resume

CNBC Economy - Consumer sentiment record low, wholesale inflation +6%, Bessent sees disinflation,

Putin-Xi gas pipeline

CNBC Politics - Trump links Abraham Accords to Iran deal, Tulsi Gabbard resigns, Warsh confirmation

CNBC Iran - Trump says talks "proceeding nicely," Iran plays down breakthrough hopes, European

stocks highest since March

Polymarket API - China Taiwan, Bitcoin \$1M, Trump presidency markets

Oilprice.com - Colombia gas crisis, EU sanctions on Kyrgyzstan, Devon \$2.6B Delaware Basin

expansion

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